

Low-Priced Common Stocks. Analysis of the Source of Income

LOW-PRICED STOCKS

The characteristics discussed in the preceding chapter are generally thought of by the public in connection with *low-priced stocks*. The majority of issues of the speculatively capitalized type do sell within the low-priced range. The definition of “low-priced” must, of course, be somewhat arbitrary. Prices below \$10 per share belong to this category beyond question; those above \$20 are ordinarily excluded; so that the dividing line would be set somewhere between \$10 and \$20.

Arithmetical Advantage of Low-Priced Issues. Low-priced common stocks appear to possess an inherent arithmetical advantage arising from the fact they can advance so much more than they can decline. It is a commonplace of the securities market that an issue will rise more readily from 10 to 40 than from 100 to 400. This fact is due in part to the preferences of the speculative public, which generally is much more partial to issues in the 10-to-40 range than to those selling above 100. But it is also true that in many cases low-price common stocks give the owner the advantage of an interest in, or “call” upon, a relatively large enterprise at relatively small expense.

A statistical study of the relative price behavior of industrial stocks in various price groups was presented in the April 1936 issue of *The Journal of Business of the University of Chicago*.¹ The study was devoted to the period 1926–1935² and revealed a continuous superiority of diversified,

¹ Fritzemeier, Louis H., “Relative Price Fluctuations of Industrial Stocks in Different Price Groups,” *loc. cit.*, pp. 133–154.

² See pp. 473–474 of the 1934 edition of this work for reference to an earlier study devoted to the relative behavior of low-priced and high-priced issues when purchased at or near the